

SME

BUY



SEBI Research Analyst Registration No: INH000009843

Virtuoso Optoelectronics Ltd (VOEPL)

Initiating Coverage

01st February, 2024

CMP: ₹267 | Target Price: ₹451.2

Upside Potential: 69% | Duration: 2 Year

Market Capitalisation: ₹609.8 Cr.

Lot size: 500 Quantity

Research Analyst – Tushar Raghatate, Pratik Kulkarni, Nitya Shah

Investors are advised to refer through important disclosures made at the end of the Research Report.



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SUMMARY

- Established in 2015, Virtuoso Optoelectronics Ltd. (VOEPL) is a manufacturer of consumer durable goods and assembles a wide array of products and provides end-to-end product solutions. they serve under both original equipment manufacturer (OEM) and original design manufacturer (ODM) business models. Under the ODM model, they manufacture and supply products based on designs developed by their customer, who then further distribute these products under their own brands. Under the ODM model, in addition to manufacturing, we conceptualize and design the products which are then marketed to VOEPL's customers' prospective customers under their brands.
- VOEPL operates under 3 categories; A/C Manufacturing, EMS & Lighting, and Water Dispenser/Commercial Refrigeration (yet to start), major business is coming from A/C business where it has a capacity of 600,000 units for Indoor units (IDUs) and 250,000 Outdoor unit (ODUs) while Cross Flow Fans (CFF) has capacity of 480,000 units. While Capacity in lighting (in terms of lamp equivalent) is 3.4 Crore units. Whereas Water Dispenser and Commercial Refrigeration is a new segment that will start in Q4FY24/H1FY25.
- VOEPL operates through 4 manufacturing sites situated in Nashik, in which most of the goods are backwards integrated for A/C manufacturing such as Controller boards, sheet metal parts, A/C remote, Cross Flow Fan, Plastic Injection Molding and the company is aiming to add brass components and BLCD motors which is currently being import.
- VOEPL has a strategy to add one anchor client in every segment which will give high turnover from a single client assuring revenue hence, In the A/C segment they've Voltas as a client which contributes major revenue for the A/C segment and for lighting business there is Panasonic which contributes major chunk. Combining both it contributes more than 80% of the business and also provides diversification due to multiple products. Other clients include; IHCL, Polycab, Ariston (Thermo Group), Pressfit, etc. The company is also part of the PLI benefit given by Govt. of India where VOEPL has sanctioned an amount of ₹50.50 Cr. for White Goods products and some GST relaxation from the Maharashtra Gov.
- VOEPL has clocked Revenue CAGR of 57% from ~₹55 Cr. to ~₹337 Cr. for the period of FY19-FY23. While EBITDA Margins improved from 5.2% in FY19 to 10.1% in FY23, which led to an increase in the PAT from ~₹0.55 Cr. in FY19 to ~₹7.8 Cr. in FY23 which is 94% CAGR. For H1 FY24 company did ₹238 Cr. of topline with 10% of EBITDA margins and PAT came at ₹3.5 Cr. which is on the path of the company's prospect.

CORPORATE GOVERNANCE

Positive
 Negative

Checklist	Remark
Auditors' opinion	Unmodified
Auditor change	No frequent change
Promoter pledged %	No promoter pledge
QoQ results reporting	As per the compliance, SME companies are not bound to give QoQ result. Although giving QoQ result shows investment friendliness
Conference call	Yes, shows investment friendliness
Investor presentation	Yes, shows investment friendliness

PROMOTERS AND MANAGEMENT TEAM

MR. SUKRIT BHARATI, PROMOTER, MD & CEO



- He is a Master in Science – Engineering Technology from BITS Pilani and Diploma courses in Management subjects from Harvard Business School and NMIMS, Mumbai.
- Further, he has completed a certification course from the Seed Transformation Program, at Stanford University which is a year-long, on-the-ground leadership program for established founders and CEOs in emerging economies focused on growing their businesses and increasing the positive impact they have in their communities.
- He is taking an annual remuneration of ₹0.30 Cr. which is a ~3.85% of FY23 PAT of ₹7.8 Cr.

MR. SAJID SHAIKH, CHIEF FINANCIAL OFFICER (CFO)

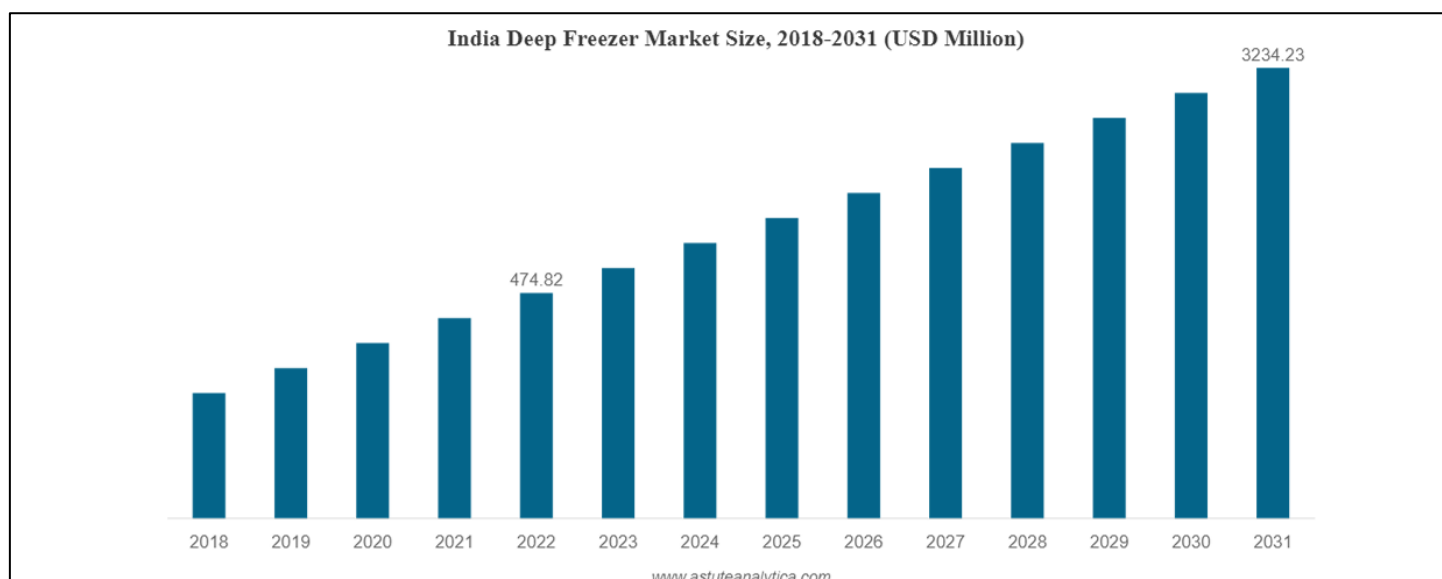


- He is an MBA with over 25 years of experience across the banking & finance sector. Strong experience in financial modelling, debt financing, networking and fundraising.
- He is also responsible for product development, and the functional and technical department of the company.

INDUSTRY ANALYSIS

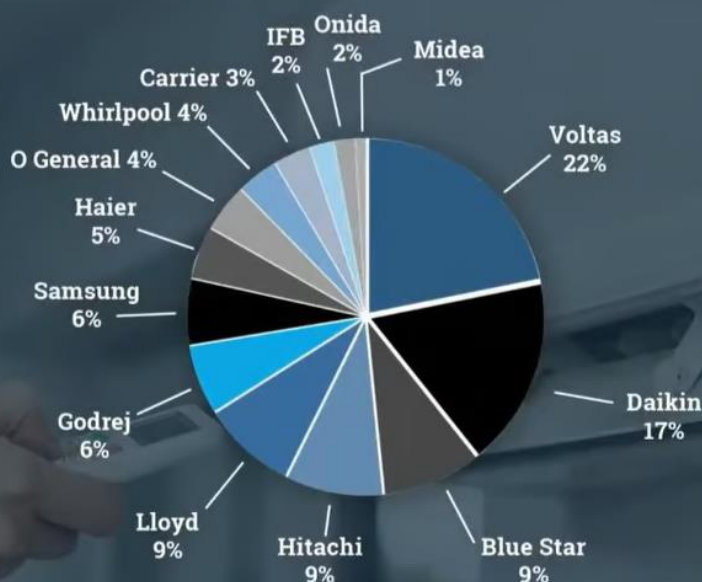
- Over the past decade, the EMS industry has surged, notably in the last five years, fueled by India's burgeoning electronics sector. This growth stems from various factors, including rising disposable incomes, favourable duty structures, and significant public procurement for initiatives like rural electrification and e-governance. With a robust domestic market and expanding export opportunities, India's electronics industry has emerged as a global player, renowned for its R&D capabilities, design services, and manufacturing prowess. Positioned as a top low-cost manufacturing destination, India continues to capitalize on cost advantages amid rising global expenses, solidifying its competitive edge.
- The government's vision for the electronics industry is clear: to establish India as a global ESDM hub. This ambition is propelled by initiatives aimed at fostering capabilities within the country for developing core components and facilitating a conducive environment for global competitiveness. Key strategies include incentivizing the entire ecosystem through schemes like Production Linked Incentives (PLI) for various sectors, Phased Manufacturing Programs targeting mobile phones and related components, the Scheme for Promotion of Manufacturing of Electronics Components and Semiconductors (SPECES), and the Electronic Manufacturing Cluster (EMC) 2.0. These measures underscore India's commitment to becoming a prominent player in the global electronics market.
- These incentive schemes are poised to catalyze investment across the entire value chain of the Indian electronics industry. By nurturing a local manufacturing ecosystem, they will fortify the domestic supply chain, leading to enhanced market responsiveness, shortened lead times, reduced foreign exchange outflow, lower component and logistics expenses, and increased affordability of electronic products in the foreseeable future.
- The total addressable EMS market in India, valued at ₹2,654 billion (USD 36 Billion) in FY21, is projected to reach ₹9,963 billion (USD 135 Billion) by FY26, with a remarkable CAGR of 30%. Despite this growth, Indian EMS companies currently contribute approximately 40%, amounting to ₹1,069 billion (USD 14 Billion) in FY21, and are anticipated to expand at a 41% CAGR, reaching ₹5,978 billion (USD 81 Billion) by FY26.
- India's Air Conditioner Market is projected to reach \$399.88 billion by 2028 growing with a CAGR of 7.66% from 2022 to 2028. As India's population continues to grow and its economy undergoes a transformation, the air conditioning industry has emerged as one of the fastest-growing industries in the country.

- India's AC market is categorized into Room Air Conditioners, Ducted Air Conditioners, Ductless Air Conditioners, and Centralized Air Conditioners. Among these, the room air conditioner segment stands out as one of the world's largest and fastest-growing markets. This growth is predominantly fueled by escalating demand for residential air conditioners, driven by a rising number of middle-class households with increased disposable incomes investing in home appliances like air conditioners. Additionally, the ongoing trend of urbanization has resulted in more individuals residing in compact living spaces, necessitating smaller and more efficient air conditioning solutions to cater to their needs.
- India stands as the second-largest LED market worldwide and the fastest-growing market in the Asia-Pacific region. The recent halving of excise duty on LED components from 12% to 6% has propelled domestic manufacturing, with LED market share soaring from 0.3% to an impressive 46%. With the Government of India's unwavering commitment to the Smart City development paradigm, the demand for energy-efficient technologies, products, and services, including LED lights, is projected to surge significantly. The LED light market, valued at USD 2.8 billion in 2021, is forecasted to escalate to USD 9.8 billion by 2027, boasting a robust CAGR of 23.31% for the same period.
- The Indian Deep Freezer Market, valued at \$474.82 million in 2022, is forecasted to exceed \$3,234.23 million by 2031, with a notable CAGR of 25.2% during the period 2023–2031. This growth surge, highlighted by the sale of approximately 1.3 million units in 2022, reflects a rising demand from households and commercial establishments. Both domestic and international brands contributed to this expansion, with the top three brands collectively selling over 800,000 units, showcasing heightened market competitiveness. Household deep freezers, priced at an average of \$188, offer a cost-effective solution for consumers, while commercial variants, necessitating larger storage capacities, carry an average price of ₹625, reflecting varied functionalities and features available in the market.



- The water dispenser market is on the brink of expansion, driven by a growing awareness of the importance of access to clean, safe drinking water. Globally, the industry is experiencing a surge propelled by escalating groundwater contamination, rising demand for clean water, urbanization, industrialization, and dwindling natural water resources. Moreover, advancements in water purification technologies and the availability of cost-effective, energy-efficient water cleaning products are poised to further bolster market growth.
- The global water dispenser market is projected to reach a size of \$2,723.1 million by 2023, with sales expected to grow at a robust CAGR of 8.9% from 2023 to 2033. By 2033, the demand for water dispensers is forecasted to reach a valuation of \$6,383.1 million.
- Voltas holds the dominant position in the Room Air-Conditioner market in India, with VOEPL exclusively serving Voltas, providing it with the advantage of industry growth and potential market share expansion. Out of every 100 air conditioners manufactured by Voltas, approximately 20 are produced by VOEPL alone. This robust collaboration underscores the strength and promising outlook for future earnings, highlighting the strong visibility of Voltas's market presence.

ROOM AIR-CONDITIONER MARKET SHARE (~Rs.215bn)



Source: TCG AMC

THE COMPANY

- Founded in 2015, Virtuoso Optoelectronics Limited (VOEPL) specializes in manufacturing consumer durable goods, offering a diverse range of products and comprehensive end-to-end solutions. With a focus on OEM/ODM services, VOEPL has emerged as a leading player in the manufacturing sector, particularly in white goods and electronic items, notably air conditioners.
- VOEPL initiated its commercial production in Nashik with an EMS unit spanning 6,000 sq. ft. As the company expanded, it diversified into lighting products. In 2017-18, VOEPL transitioned to a new 40,000 sq. ft. facility, welcoming Anchor Electronics, now part of Panasonic, and started manufacturing air conditioners. By 2019, VOEPL exported its inaugural batch of A/Cs for Voltas. In 2020, the company expanded with a 48,000 sq. ft. EMS and LED facility and augmented its IDU unit by 60,000 sq. ft. In 2021, VOEPL introduced in-house Heat Exchange & Plastic Injection Molding Lines and developed remote & electronic parts for ACs. In 2023, Unit 3 was established for ODU manufacturing, while IDU capacity was further expanded. Additionally, Unit 4 was set up for Cross Flow Fans and Plastic Components.
- VOEPL broadly operates across five different verticals, namely: a) Air-Conditioning, b) EMS Business, c) LED Lighting Segment, d) Water Dispensers (Yet to commence), e) Commercial Refrigeration (Yet to commence). For each segment, VOEPL has a strategy to secure one anchor client, ensuring high turnover from a single source and reliable revenue. In the Air-Conditioning segment, Voltas serves as a major client, contributing significantly to revenue, while Panasonic holds a similar role in the lighting business, collectively constituting more than 80% of the company's business. This arrangement not only ensures substantial revenue but also provides diversification across multiple products. Other notable clients include IHCL, Polycab, Ariston (Thermo Group), Pressfit, etc.
- Currently, VOEPL has a capacity of 600,000 units for Indoor units (IDUs) and 250,000 units for Outdoor units (ODUs), with Cross Flow Fans (CFF) capacity at 480,000 units. The lighting capacity, in terms of lamp equivalent, stands at 3.4 Crore units. With the current capex plan, by the end of FY24, the capacity for each product will increase to 800,000 units for IDUs, 400,000 units for ODU, and 840,000 units for CFF. The lighting capacity will remain the same as in FY23. Commercial production for the new products is scheduled to commence in Q4FY24/H1FY25.
- VOEPL has clocked Revenue CAGR of 57% from ~₹55 Cr. to ~₹337 Cr. for the period of FY19-FY23. While EBITDA Margins improved from 5.2% in FY19 to 10.1% in FY23, which led to an increase in the PAT from ~₹0.55 Cr. in FY19 to ~₹7.8 Cr. in FY23 which is 94% CAGR. For H1 FY24 company did ₹238 Cr. of topline with 10% of EBITDA margins and PAT came at ₹3.5 Cr. which is on the path of the company's prospect.

Air-Conditioner Division:

- VOEPL operates exclusively for Voltas, offering end-to-end solutions that encompass ODUs, IDUs, components, and other raw materials. Approximately 80% of the materials are manufactured in-house, with the remainder imported. In terms of capacity utilization, for FY23, the IDU capacity was 600,000 units, of which the company manufactured 450,000 units. Since the ODU unit commenced production in January 2023, approximately 30,000 units were produced out of a capacity of 250,000 units. Consequently, margins were lower for the ODU segment during that period. However, for FY24, capacity utilization is expected to increase significantly due to the company's plans to expand capacity across all A/C segment products.
- In terms of volume utilization, there's a ratio of 1:2 for ODU vs. IDU. Recognizing this, the company strategically boosted ODU capacity to 400,000 units and IDU capacity to 800,000 units, slated for completion by the end of Q4 FY24. Margins for IDUs tend to be higher, typically ranging from 9% to 10%, depending on the utilization rate. Conversely, margins for ODUs are comparatively lower, falling within the range of 7% to 8%, also contingent upon utilization rates.
- In FY23, the A/C segment accounted for approximately 70% of VOEPL's contribution. However, the company aims to reduce this dependency to 40%-45% by FY26, diversifying its revenue streams. Despite this shift, VOEPL anticipates significant volume growth, given the underpenetrated nature of the industry in India. Out of every 100 A/Cs manufactured by Voltas, VOEPL produces 10-20 units. Additionally, the company also sells IDUs to other companies, further expanding its market presence and revenue streams.



1) left to right- Sajid Shaikh (CFO); K. Ramesh (Plant head), Manan & Nitya (KamayaKya team)

During our visit to VOEPL, we witnessed the management's prowess for the industry. Mr. Sajid Shaikh, the CFO, guided us through various company units in Nashik. We also had the opportunity to meet Mr. K. Ramesh, the factory head, who provided comprehensive insights into the production processes and assembly lines.



2) Copper pipe division, A key raw material used in A/C segment.

We gained a comprehensive understanding of the A/C manufacturing process, including both Indoor and Outdoor Units. We learned about the company's strategic backward integration, minimising external sourcing of components. Over the years, VOEPL has achieved significant backward integration, and they are actively working through their R&D facility to further reduce reliance on external sources.



3) A/C manufacturing Site where Finished A/C outdoor units are ready to Dispatch.
(Dedicated Manufacturing unit to cater Voltas)

Lighting, EMS, and Components:

- Lighting business majorly comes from One client namely, Panasonic and the remaining comes from different players like Ariston, Polycab, etc. In FY23, ₹70 Cr. came from the lighting business under which VOEPL sold 2 cr. LED bulb at an average price of Rs. 30/piece while another ₹10 Cr. of revenue came from different types of lights that the company offers. In terms of capacity as the company have multiple SKUs in lighting, in terms of lamp equivalent, VOEPL had 3.4 Cr. unit of capacity in FY23 and there is no plan to increase capacity in FY24 as enough capacity is already available and the benefit of operating leverage can be played out.
- The margins in the lighting business are on the higher side of 12%-15% which upticks the company-level margins. VOEPL believes The Gov. of India continues to focus on the Smart City development model which is expected to accelerate the demand for energy-efficient technologies, products, and services including LED lights. For the same, There was a reduction in excise duty from 12% to 6% on LED components which has boosted domestic manufacturing.



4) Manufacturing unit of LED Lights, Ready to dispatch the LED Lights of Panasonic brand.



5) Life Testing Center for LED bulb, Part of R&D of the Lighting division.

- The company manufactures most components for internal use, leveraging PLI benefits for backward integration. In FY2023, EMS and component business contributed 8%-10% of revenue, boasting higher margins (10%-12%) despite lower asset turnover. Forward guidance suggests EMS & Component business will maintain its 10% share, given existing in-house manufacturing for A/C processes.
- While copper and aluminium are currently imported, there are no plans to manufacture them in-house for at least the next 2 years due to the lack of production capability in India. However, VOEPL intends to incorporate BLDC motors, currently sourced 50:50 from imports and Indian manufacturers. Additionally, the company is in the process of adding an aluminium die-casting machine for use in LED lighting.



6) Moulding & CFF unit



Controller Boards



Sheet Metal Parts



Heat Exchangers



Wire Harnesses



Copper Tubing



Plastic Injection
Molding



Cross Flow Fan



Remotes

7) Stack of component verticle

Water Dispensers & Commercial Refrigeration:

- In FY24, VOEPL announced the launch of two highly anticipated products: Water Dispensers and Commercial Refrigeration units. These products are entering a market with a high-demand scenario, with the industry projected to grow at a 9% CAGR and a 25% CAGR in the coming years. Leveraging years of expertise in similar categories, the management anticipates early success in this new venture.
- Combining both segments, there will be a total capital expenditure of ₹80-100 Cr. Given the synergies between new and existing products, this requirement is relatively low. At maximum utilization by FY27, these segments have the potential to generate over ₹500 Cr. in revenue. Approximately ₹70 Cr. will be spent in FY24, with the remainder allocated to FY25. By FY27, VOEPL anticipates that 20%-30% of its revenue will come from these new categories, contributing up to 2%-3% to the overall margin.
- The initial capacity for Water Dispensers will be 150,000 units, with potential scalability of upto 400,000-500,000 units based on product demand and company success. By FY25, the company expects capacity to reach at least 200,000 units, with margins anticipated in the 10%-12% range. VOEPL highlighted synergies between A/C ODU and Water Dispensers, providing a competitive edge without compromising margins. The first batch of exports was projected to commence by December 2023.
- Commercial refrigeration, being capital-intensive, will begin commercialization in FY25. Despite higher initial capex, this segment offers higher margins. VOEPL anticipates achieving margins of 12%-15%, which will positively impact the company's overall margins. With an initial capacity of 150,000 units by H1FY25, the company expects a strong response from both domestic and export markets, potentially necessitating capacity expansion by the end of FY25/H1FY26. The Indian commercial refrigeration market is valued at \$475 million and is projected to grow at a CAGR of 25% over the next nine to 10 years.
- On a company level, VOEPL projects a top-line revenue of ₹1000Cr. by the end of FY26, with 40%-45% originating from the A/C segment, 25% from Lighting, 10%-15% from Components, and 20%-25% from new products (Water Dispensers and Commercial Refrigeration). The blended operational profit margin (OPM) is anticipated to be around 9%-10%, with a profit after tax (PAT) range of 2%-2.5%.

Product Experience while conducting factory visit by KamayaKya Team Members:



8) Sample product of newly launched Commercial Refrigeration.



9) Sample product of newly launched Water Dispenser.

- Our examination of the company's latest offerings, including the Water Dispenser and Commercial Refrigeration units, revealed sample batches with promising potential for future upgrades. Our experience indicates that VOEPL's products are of exceptional quality, comparable to those of leading A-class companies with extensive experience in these product categories.
- It was observed that VOEPL dispatches its products regularly, and upon completion of dispatch, the company absolves itself of responsibility for any external challenges that may arise thereafter.

MARQUEE CLIENT LIST

Major Customers

VOLTAS
A TATA Enterprise

Panasonic

— 80%

Other Customers

IHCL

POLYCAB

ARISTON
THERMO GROUP



ANCHOR
by Panasonic

.pressfit®

— 20%

TRIGGERS

NEW ENTRY INTO WATER DISPENSERS & COMMERCIAL REF.; CAPEX IN EXISTING PRODUCTS

- In Q1/Q2 FY24, VOEPL unveiled its ambitious expansion strategy, introducing two new product lines: Water Dispensers and Commercial Refrigeration. Both sectors boast substantial growth prospects, with the Indian market size & global market sizes estimated at \$2.7 billion and \$475 million, respectively, and anticipated CAGR of 9% and 25%. To propel this expansion forward, VOEPL has earmarked approximately ~₹80 Cr. for capital expenditure across FY24 and FY25 combined.
- Concurrently, existing product lines are poised for substantial growth, with plans for a 50% capacity increase in Air Conditioning components (both Indoor Unit and Outdoor Unit), translating to 8 lakhs and 4 lakhs units, respectively. Other critical components, like CFF, are forecasted to surge to 8.4 lakh units from 4.8 lakh units in FY23. Furthermore, to enhance margins and leverage the benefits of Production-Linked Incentive (PLI) schemes, the company is steadfast in its commitment to backward integration. This involves capital expenditure in BLDC Motor components and brass components, slated for completion by the conclusion of FY24-25.
- In the lighting segment, VOEPL is striving to ramp up its capacity to 3.5 Cr. units of bulbs by the end of FY24, demonstrating the company's commitment to meeting growing market demands and solidifying its position as a key player in the industry.

STRONG GUIDANCE FOR MEDIUM-TERM & LONG -TERM; FUNDS TO FUEL GROWTH

- The company maintains its revenue targets, aiming for ₹550 Cr. for FY24, ₹700 Cr. for FY25, and a long-term goal of ₹1000 Cr. by FY26, with targeted EBITDA and PAT margins within the range of 8%-10% and 2%-2.5%, respectively.
- Recent launches in Water Dispenser and Commercial Refrigeration will see combined investments ranging from ₹80-100 Cr. Leveraging synergies with existing manufacturing capabilities, minimal fresh capital expenditure is required. The integration of both segments has the potential to generate over ₹500 Cr. in revenue at maximum utilization by FY27.
- For FY27, revenue diversification is planned, with projections indicating 40-50% of revenue from A/C, 10-15% from Lighting, 10% from EMS and Component business, and approximately 20-30% from Water Dispensers and Commercial Refrigeration. While, EBITDA margin projections are as follows: ODUs at 7-8%, IDUs at 9-10%, lighting at 12-15%, EMS and component business at 10-12%,

water dispensers at 10-12%, and commercial refrigeration at 12-15%. The newly introduced ODU category is anticipated to experience significant growth compared to IDUs, which might initially impact EBITDA margins, potentially reducing them. However, the expected growth in this new category is forecasted to compensate for the margin reduction, thus maintaining the current overall margin levels.

- The company raised approximately ₹186 Cr. through a preferential issue and warrants at ₹255.1 per share. Noteworthy investors and promoters participated, including one major investor family with a Rs 51 crore investment. This reduced promoter holding from 65.6% to around 59%. The company expects a debt-to-equity ratio of 1x–1.2x after the dilution, encompassing short-term borrowings. These actions aim to increase FY26 ROCE to around 20% from the current 13.3%.

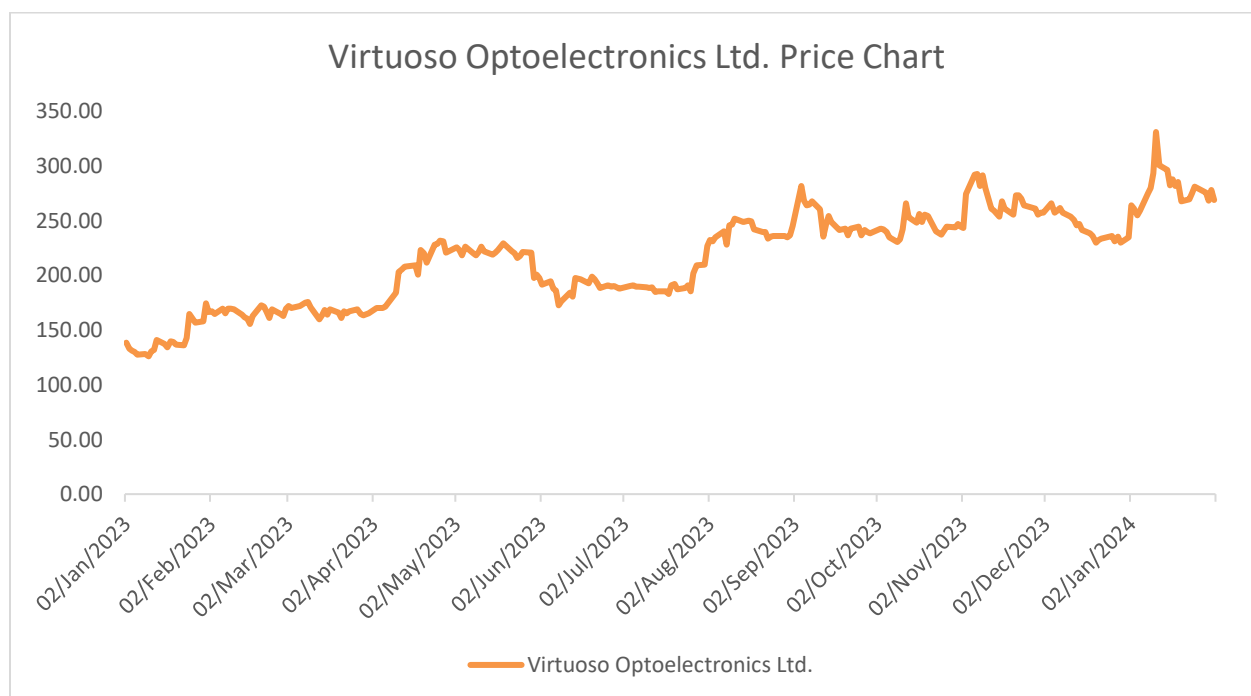
INDUSTRY ANALYSIS OF EXISTING PRODUCTS; EXPERIENCED MANAGEMENT BACKGROUND

- The white goods industry is set for a strong 12% CAGR growth until FY25, with a projected market size of about \$13.66 billion in FY20. In India, the air conditioner market aims for 7-7.5 million units annually, with current penetration at 4%, offering significant room for expansion compared to the global 30%. Recent excise duty reduction on LED lighting supports local manufacturing. The LED lighting market anticipates a 23.31% CAGR, expected to reach \$9.8 billion by 2027 from \$2.8 billion in 2021, indicating substantial growth potential.
- VOEPL's CEO & MD, Mr Sukrit Bharati, brings over 13 years of industry expertise, with qualifications from BITS Pilani and Harvard Business School. He is supported by a seasoned team including Sajid Shaikh (CFO), Nitin Shewale (COO), K Ramesh (GM - Manufacturing), and Kedar Aphale (GM - Operations), each boasting 25+ years of experience. With this wealth of experience and talent, the company is well-equipped to achieve its ambitious goals.

RISKS

- VOEPL ventured into the low-margin ODU product, initially experiencing lower volume. However, volume is projected to rise in FY24, FY25, and FY26, potentially impacting margins negatively. To counter this, the launch of Water Dispensers and commercial refrigeration is anticipated to balance the margins. Failure to expand these new products may result in a margin decline, subsequently impacting the company's ROCE.
- VOEPL exclusively serves Voltas in the A/C segment, utilizing its entire capacity. This arrangement will persist until Voltas provides adequate orders. However, any negotiation on product pricing or new orders from Voltas might affect VOEPL's A/C business, expected to contribute ~45% to the overall business by FY26. Yet, the current relationship with Voltas remains stable, showing no signs of potential disruptions.
- VOEPL's primary products face seasonal demand between January and June. Adverse weather conditions during this period can significantly affect the business, impacting both the working capital cycle and profitability.
- All margin projections by VOEPL are contingent upon the assumption of continued benefits from the PLI scheme, which enables ongoing investment in backward integration. Any delay or cancellation in this scheme could potentially impact the company's margins.

PRICE DATA



Source- Ace Equity, KamayaKya research

FINANCIALS

• PROFIT AND LOSS STATEMENT

(All figures are in Cr. unless mentioned otherwise)

P & L	2019	2020	2021	2022	2023
Net Sales	54.95	68.20	115.26	200.17	337.27
Total Expenditure	52.37	60.23	102.79	180.36	303.81
Gross Profit	4.59	14.57	22.89	36.13	59.05
GPM (%)	8.36	21.36	19.86	18.05	17.51
EBITDA	2.89	8.17	12.72	19.92	34.26
EBITDAM (%)	5.25	11.97	11.04	9.95	10.16
EBIT	2.56	6.73	10.37	14.79	24.83
EBITM (%)	4.65	9.87	9.00	7.39	7.36
PBT	0.90	1.92	2.90	5.73	11.29
PAT	0.54	1.41	2.08	3.94	7.77
PATM(%)	0.98	2.07	1.81	1.97	2.30

• FUND FLOW ANALYSIS

(All figures are in Cr. unless mentioned otherwise)

Sources of Funds	2019	2020	2021	2022	2023
Cash Profit	0.87	2.84	4.43	9.08	17.20
Equity Paid Up	1.50	1.66	1.66	14.98	22.84
Reserves & Surplus	3.00	9.58	11.66	6.28	70.81
Net Worth	4.50	11.24	13.32	21.26	93.65
Total Debt	16.66	38.53	51.43	68.00	88.15
Capital Employed	21.15	49.77	67.75	89.27	181.80
Application of Funds	2019	2020	2021	2022	2023
Gross Block	5.58	13.01	21.74	59.83	107.35
Investments	0.00	0.00	0.05	0.78	10.23
Cash and Bank balance	0.56	0.05	0.02	0.81	0.33
Net Current Assets	5.59	6.33	11.56	-0.13	32.38
Total Current Liabilities	14.91	30.68	40.89	73.79	138.68
Total Assets	26.35	57.19	79.90	125.56	276.50

Source- Ace Equity, KamayaKya research

• CASH FLOW STATEMENT

(All figures are in Cr. unless mentioned otherwise)

Cash Flow	2018	2019	2020	2021	2022
Cash Flow from Operations	124.49	44.64	184.48	291.92	50.56
Cash Flow from Investing activities	-92.13	-33.55	-374.09	-186.63	-27.24
Cash Flow from Finance activities	-12.88	-5.22	222.55	-111.77	-51.45
Free Cash flow	114.29	2.85	-49.64	156.03	-7.09

• RATIO ANALYSIS

Financial ratios	2020	2021	2022	2023
Earnings Per Share (Rs)	8.47	12.52	2.63	3.40
Adjusted EPS (Rs.)	1.21	1.79	2.63	3.40
CEPS(Rs)	2.44	3.81	6.06	7.53
DPS(Rs)	0.00	0.00	0.00	0.00
Adj DPS(Rs)	0.00	0.00	0.00	0.00
Book Value (Rs)	67.54	80.06	14.19	41.01
Adjusted Book Value (Rs)	9.65	11.44	14.19	41.01
Tax Rate(%)	26.64	28.05	31.24	31.21
Dividend Pay Out Ratio(%)	0.00	0.00	0.00	0.00
GPM (%)	21.36	19.86	18.05	17.51
EBIDTM (%)	11.97	11.04	9.95	10.16
EBITM (%)	9.87	9.00	7.39	7.36
Pre Tax Margin(%)	2.82	2.51	2.86	3.35
PATM (%)	2.07	1.81	1.97	2.30
CPM(%)	4.16	3.85	4.53	5.10
ROA (%)	3.37	3.04	3.84	3.86
ROE (%)	17.91	16.96	22.78	13.52
ROCE (%)	18.99	17.65	18.83	18.32

Source- Ace Equity, KamayaKya research

Efficiency ratios	2020	2021	2022	2023
Asset Turnover(x)	1.63	1.68	1.95	1.68
Debtors Turnover(x)	4.39	7.55	20.37	19.21
Fixed Asset Turnover (x)	7.34	6.63	4.91	4.03
Sales(x)/Working Capital	10.77	9.97	-1561.41	10.42
Fixed Capital/Sales(x)	0.14	0.15	0.20	0.25
Receivable days	83.06	48.33	17.92	19.00
Cash conversion cycle	102.71	96.82	64.64	51.30

Growth Ratios	2020	2021	2022	2023
Net Sales Growth(%)	24.11	68.99	73.68	68.49
Core EBITDA Growth(%)	182.92	55.81	56.59	71.96
EBIT Growth(%)	163.37	54.05	42.54	67.94
PAT Growth(%)	161.54	47.87	89.13	97.13
Adj. EPS Growth(%)	135.73	47.87	47.05	29.32

Liquidity ratio	2020	2021	2022	2023
Current Ratio(x)	1.21	1.28	1.00	1.23
Quick Ratio(x)	0.76	0.37	0.14	0.24

Solvency ratio	2020	2021	2022	2023
Total Debt/Equity(x)	3.43	3.86	3.20	0.94
Interest Cover(x)	1.40	1.39	1.63	1.83
Total Debt/Mcap(x)	0.00	0.00	0.00	0.23

Source- Ace Equity, KamayaKya research

Valuation ratios	2020	2021	2022	2023
Adjusted PE (x)	0.00	0.00	0.00	48.53
PCE(x)	0.00	0.00	0.00	21.92
Price / Book Value(x)	0.00	0.00	0.00	4.03
Dividend Yield(%)	0.00	0.00	0.00	0.00
EV/Net Sales(x)	0.59	0.46	0.41	1.38
EV/EBITDA(x)	4.92	4.17	4.12	13.57
EV/EBIT(x)	5.96	5.12	5.56	18.72
EV/CE(x)	0.70	0.66	0.65	1.68
M Cap / Sales	0.00	0.00	0.00	1.12

Source- Ace Equity, KamayaKya research

Cash Flow ratios	2020	2021	2022	2023
Cash Flow Per share	-32.95	6.22	14.56	-4.21
Price to Cash Flow Ratio	0.00	0.00	0.00	-39.21
Free Cash Flow per Share	-156.93	-105.82	-11.27	-33.87
Price to Free Cash Flow	0.00	0.00	0.00	-4.87
Free Cash Flow Yield	0.00	0.00	0.00	-0.21
Sales to cash flow ratios	-12.44	111.37	9.18	-35.08

Du Pont analysis	2020	2021	2022	2023
PATM (%)	2.07	1.81	1.97	2.30
Sales / Total Assets(x)	1.63	1.68	1.95	1.68
Assets to Equity (x)	5.31	5.58	5.94	3.50
ROE (%)	17.91	16.96	22.78	13.52

Source- Ace Equity, KamayaKya research

FINANCIAL SHENANIGANS

Positive Negative

(All figures are in Cr. unless mentioned otherwise)

Year	2020	2021	2022	2023	CAGR	Remark
Net Sales	68.20	115.26	200.17	337.27	70%	Trade receivables CAGR < Sales CAGR
Trade Receivables	19.75	10.77	8.88	26.24	10%	
Trade Receivables as % of sales	29%	9%	4%	8%		
						Little volatile since seasonality in the business but long-term range should be stable
Contingent Liabilities	0.00	0.56	2.95	5.86		
Equity	11.24	13.32	21.26	93.65		
Contingent Liabilities as % of equity	0.00	0.04	0.14	0.06		Negligible
Director's remuneration	0.12	0.30	0.30	0.30	36%	Remuneration CAGR < PAT CAGR, base effect impact otherwise on declining trend.
PAT	1.41	2.08	3.94	7.77	77%	
Director's remuneration as % of PAT	13%	21%	16%	14%		
Net debt/EBITDA	4.71	4.04	3.33	2.26		> 2 Shows highly leverage, high requirement of working capital
CFO/EBITDA	-67%	8%	109%	-28%		Conversion ratio is volatile due to high requirement of working capital
Auditor fees	0.03	0.03	0.08	0.09		
Auditor fees as % of sales	0.04%	0.03%	0.04%	0.03%		Negligible

Source- Ace Equity, KamayaKya research

VALUATIONS

P&L	2021	2022	2023	2024E	2025E	2026E
Net Sales	115.26	200.17	337.27	550.00	750.00	1000.00
EBITDA	12.72	19.92	34.26	55.0	75.0	100.0
EBITDAM	11.04	9.95	10.16	10.0	10.0	10.0
PAT	2.08	3.94	7.77	12.38	16.88	22.50
PATM (%)	1.81	1.97	2.30	2.25	2.25	2.25

Dt-01/02/2024

Expected PAT	22.5
Expected P/E	52.7
Current M-cap	609.8
Expected M-cap	1030.5
Current price	267.0
Expected price	451.2
Upside	69%

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TERM	DEFINITION
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HOLD	Expected absolute returns between 20% and -15% over a specified time period.
SELL	Expected absolute returns of less than -15% over a specified time period.
ENTRY PRICE	Price at which the stock was recommended.
TARGET PRICE	Expected price of the stock at the end of a specified time period.
POTENTIAL UPSIDE	Expected absolute returns from entry price over a specific time period.
UPSIDE LEFT	Expected absolute returns from current market price to target price.

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